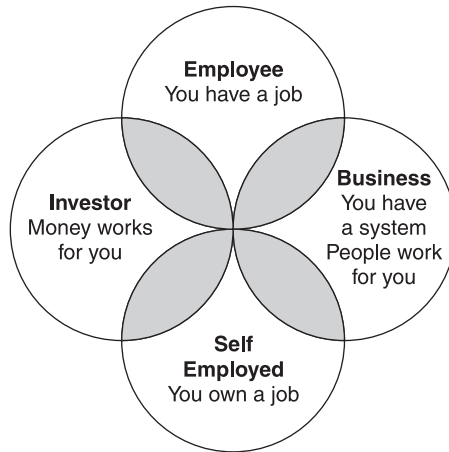




FIGURE 11.7

➤ Modes of Income Generation

Whichever quadrant you may be, if you want to make your money work for you need to make every effort to get into the investor quadrant. Only then will you be able to achieve financial freedom. A lot of us would love to be in the business quadrant, but few of us are not blessed with the skills or the abilities or the resources to run a business. So the best alternative would be to take a share in a business that is run by someone else. This is nothing but buying a stock of a company. You become an investor in the company and share the profits of the company by way of dividends and capital appreciation. To gain a detail perspective on the above concepts I would strongly recommend to the reader the Rich Dad, Poor Dad Cash flow Quadrant by Robert T. Kiyosaki with Sharon L. Lechter, (C.P.A.).

Which brings us to the most important question: Why are stocks the best form of investment?